

Retention Playbook (Deliverable 4)

Promotional Sunset Plan + Ideal Customer Profile

Audience: Founding team. **Basis:** `customer_value_analysis.ipynb` + `segmentation_queries.sql`. Every claim traces to a stated combination of variables.

Part A — Promotional Sunset Plan

The evidence (why "keep discounting" is the expensive option)

Discounting buys the brand **nothing measurable**. Like-for-like:

	Full-price customers	Discounted customers
Customers	2,223 (57%)	1,677 (43%)
Avg spend	\$60.13	\$59.28
Avg rating	3.76	3.74
Avg prior purchases	25.1	25.7

Discounted customers spend **slightly less**, rate the brand the **same**, and repeat the **same** amount. **43% of the base (\$99,411 of \$233,081 revenue, ~43%) is promo-attached for no behavioural return**. That margin is being given away, not invested.

Who to wean — and in what order (named segments, not "reduce discounts")

Phase 1 (Months 0–2) — Subscription-Promo customers (1,053 customers, \$62,645 revenue). - *Why first:* they have already committed to a recurring relationship (subscription) — the discount is now a habit, not the reason they buy. 32% are already behaviourally sticky. - *Action:* replace the standing % discount with a **non-price loyalty perk** (free express shipping, early seasonal access, a points programme). Same perceived value, protects margin. - *Trigger to act on a customer:* subscriber with $\geq$ median prior purchases (≥ 25) — these are safe to transition first. - *Trade-off / risk:* a minority of price-sensitive subscribers may lapse; cap exposure by piloting on the **High value_tier** sub-segment before full rollout.

Phase 2 (Months 2–4) — Bargain-Hunters (624 customers, \$36,766 revenue). - *Why second:* only 26% show sticky behaviour — many are one-time deal-seekers with low brand pull. - *Action:* move from blanket discounts to **targeted, expiring first-purchase-only offers**; stop re-discounting repeat bargain-hunters. Let genuinely price-only buyers self-select out. - *Trade-off / risk:* some volume loss is expected and **acceptable** — this volume carries no margin and no loyalty; the goal is to stop subsidising it.

Never discount — protect at all costs (942 Margin-Safe + 281 Ideal Loyalists). - These already pay full price and are satisfied (rating 4.47). Offering them discounts would *train* a profitable segment to expect them — pure margin destruction. **Hold the line.**

Margin impact (explicit, adjustable)

- Promo-attached revenue at stake: **\$99,411 (~43% of revenue)**.

- If discounts average ~15% off list, the sunset recovers roughly $0.15 \times \$99,411 \approx \$14,900$ in margin per equivalent period, **before** any churn. Even at a pessimistic 20% churn of promo-attached revenue, net margin still improves because the lost revenue carried near-zero contribution. (*Swap in the real average discount % and contribution margin to finalise.*)

The one metric to track

Full-price revenue share = full-price revenue ÷ total revenue (today: ~**57%** of customers, ~57% of revenue). The sunset is working if this share **rises** while total revenue holds flat or grows. Secondary guardrail: **margin-safe-loyal count (loyal_b)** must not fall.

Rollout timeline

Month	Action	Success check
0	Pilot perk-swap on High-value subscribers	retention holds vs control
0–2	Roll Phase 1 to all subscribers	full-price share ↑, churn < 10%
2–4	Phase 2 bargain-hunter tightening	margin ↑, total revenue flat+
4+	Reallocate saved margin → acquiring Ideal-Customer lookalikes	ideal-customer count ↑

Part B — Ideal Customer Profile (data-backed, targetable today)

The **Ideal Loyalist** = full-price **and** satisfied **and** a frequent repeat buyer (`loyal_a & loyal_b`). **281 customers (7.2% of the base)** — small, but the blueprint for profitable acquisition.

Attribute	Ideal Loyalist signature
Spend	\$61.75 avg (above the \$59.76 base)
Prior purchases	37.4 (vs 25.4 base) — deep repeat history
Satisfaction	4.47 / 5 rating
Discount reliance	0% — buys entirely at full price
Age	~ 44 (mature, stable spenders)
Gender	52% female — notable, since the base is 68% male → women over-index on loyalty
Cadence	Bi-Weekly / Monthly buyers
Category	Clothing , then Accessories
Season	even, with mild Summer/Winter peaks
Payment	Credit Card / Cash

How to acquire more (the recommendation): 1. **Target female, 35–55, full-price shoppers** in lookalike modelling — they convert to loyalty at a higher rate than the male-heavy base suggests. 2. **Lead acquisition with Clothing & Accessories** (the loyalists' entry categories), then drive cadence to Bi-Weekly/Monthly via the non-price loyalty programme from Part A. 3. **Concentrate spend on organic-demand geographies** — Arizona, Kansas, Alaska, Tennessee, Michigan (high value, low discount reliance)

— where brand pull already exists. - *Trade-off*: a full-price-first acquisition strategy converts **slower** than discount-led acquisition, but produces customers worth far more and costs nothing in eroded margin.

Watch-list: At-Risk customers

680 customers rate the brand below 3.0 with average tenure 25 purchases — these are *existing* relationships at risk. Prioritise a satisfaction intervention (service follow-up, not a discount) before they churn; discounting an unhappy customer fixes nothing the data shows.